

Future-proofing your workforce: upskilling and reskilling as HR's top priorities

Esther Asiedu and Emmanuel Senior Tenakwah

Abstract

Purpose – This paper aims to examine the need for continuous upskilling and reskilling as core components of organisational strategy, analysing how proactive workforce development programs can future-proof talent pipelines.

Design/methodology/approach – It draws on recent research and industry case studies to develop a framework for implementing successful upskilling and reskilling programs.

Findings – The paper shows that companies implementing skills transformation strategies can outperform their competitors. Success factors include data-driven workforce planning, modern learning technologies and growth-oriented organisational culture. The findings suggest that Chief Human Resources Officers must reposition skills development from tactical training initiatives to strategic investment priorities to ensure sustainable competitive advantage in an increasingly dynamic business environment.

Originality/value – The paper provides a framework for building effective upskilling and reskilling programs, emphasising the role of data-driven workforce planning, modern learning technologies and growth-oriented organisational culture. It offers practical insights for HR leaders on implementing data-driven workforce planning, leveraging modern learning technologies and cultivating growth-oriented organisational cultures.

Keywords Future, HR, Workforce, Reskilling, Upskilling

Paper type General review

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Introduction

The world of work is undergoing significant changes driven by rapidly evolving technologies, new business models, global economic disruptions and changing workforce dynamics (Tenakwah and Otchere-Ankrah, 2024). Skills that were highly valued just a few years ago are becoming obsolete while emerging skills open entirely new frontiers of productivity and innovation (Tenakwah and Watson, 2024). According to research from the World Economic Forum, over 1 billion jobs will be radically transformed by technology in the next decade (World Economic Forum, 2024). Another study by McKinsey estimates that between 75 and 375 million workers globally – may need to switch occupations or acquire new skills by 2030 due to disruptions from automation and artificial intelligence (Manyika *et al.*, 2017). Companies face an existential strategic imperative: build proactive workforce skills development programs to future-proof their talent pipelines or risk being outperformed by more agile competitors (Tenakwah, 2021).

Companies positioning themselves for long-term success recognise that upskilling and reskilling efforts cannot be managed as one-off training initiatives or isolated HR tactics. They need comprehensive workforce transformation strategies with strategic upskilling/reskilling as the cornerstone (Tenakwah, 2024). By taking a holistic, data-driven approach to evolving the skills composition of their workforces, companies can cultivate future-focused labour pools that drive innovation, efficiencies and growth. Such companies gain

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the ability to shift proactively with market changes instead of reacting after it is too late. Continuous upskilling and reskilling are not just a nice-to-have workforce development luxury – it is as a strategic imperative for any organisation aiming to thrive in the future of work. Companies leading the way in establishing robust skills-driven workforce transformation roadmaps will reap dividends in attracting and retaining the most cutting-edge talent required to propel their businesses forward.

Why is continuous upskilling and reskilling is critical to success?

Evidence shows that today's skills have a shorter shelf life than ever before. New research from the University of Bordeaux found that technical skills competencies degrade by about 50% after just 5 years. With the exponential rate of change in fields like cloud computing, AI, automation, data analytics, machine learning and other technologies disrupting virtually every industry, entire job roles are just fading away. Proactive reskilling and upskilling your talent pipeline with next-generation skills is no longer a luxury reserved for a few forward-looking companies. It remains an operational imperative every business must embrace – or else risk being outperformed by more adaptable competitors. Future-ready skills are the new competitive battleground for most industries. Companies that build dynamic future skills supply chains and talent exchanges will be the disruptors consistently bringing innovations to market faster. Companies viewing workforce skills as a static commodity to be maintained rather than evolved will inevitably be disrupted themselves.

Research highlights the urgency of this critical workforce transformation priority:

- A [McKinsey and Company \(2021\)](#) study, over 60% of businesses have skills gaps across their workforces today, with more than 80% anticipating those gaps will continue widening over the next 5 years.
- A [SHRM Research, 2019](#) survey from SHRM revealed that 83% of companies recently experienced revenue/productivity losses due to skills shortages. – Looking ahead, the [World Economic Forum \(2020\)](#) estimates that by 2025, 40% of core skills required for most jobs will soon consist of skills not yet considered crucial today.

With McKinsey research suggesting companies that have mastered workforce reskilling achieve up to 3x faster innovation and 4.5x revenue growth compared to competitors, the return on investment for upskilling and reskilling initiatives is clear. However, realising that ROI requires a strategic, carefully planned approach that makes skills development a foundational part of workforce planning and not just an ad-hoc initiative.

Building an upskilling and reskilling strategy from the ground up

So how do savvy companies embed skills transformation programs as core components of workforce and talent strategies? It starts by taking a step back to conduct an audit of existing workforce skills composition, forecasting future critical skills needs, mapping skills competitiveness and developing a continuous cycle of targeted skills investment plans. For example, companies undergoing an in-depth workforce planning analysis can identify their mission-critical capabilities that would drive the most strategic value over the short term (i.e. up to 5 years). Based on this, they can build a detailed 5-year rotational skills development roadmap. This will dictate the annual budget allocations for reskilling, upskilling, internal mobility, talent sourcing and partnerships to cultivate those key capabilities, and stay agile and competitive against where the market is shifting.

This type of strategic workforce planning exercise is an essential foundation for prioritising targeted investments in skills transformation programs that align with business strategies. However, effective workforce planning requires a multistakeholder effort combining big data, analytics, cross-functional collaboration and continuous monitoring of evolving market

conditions and skills supply dynamics. Strategic workforce planning needs to be a team sport involving constant information-sharing and coordination between HR, diversity officers, business leaders, technology teams and even external training partners to make informed, collaborative decisions about how to optimise workforce composition and skills development aligned to future operational models and growth strategies. Oftentimes, this may reveal skills competitiveness or opportunities to redeploy and reskill existing talent into rapidly evolving roles within the company, optimising for internal mobility rather than external sourcing. Other times, companies may need to partner with academic institutions, invest in apprenticeship programs or staff augmentation vendors to quickly inject new skills. Or they may acquire companies with teams possessing mission-critical skills lacking in their existing talent pool.

But regardless of which specific upskilling/reskilling approaches are employed, continuous skills data analysis and workforce modelling become critical to predicting attrition curves, closing supply/demand gaps, and course-correcting strategies in real-time. It is recommended to establish internal skills-mapping platforms that serve as centralised command centres for monitoring skills inventories, determining proficiency levels, identifying opportunities for upskilling and continuously crowd-sourcing skills forecasts from stakeholders. While taking static snapshots can be useful, it is not always enough – skills intelligence has to become an evergreen part of workforce intelligence and embedded in strategic workforce planning. Ultimately, the companies that come out on top will be those that build robust, continuous skills listening infrastructures that allow them to be agile and pivot before disruption hits.

From learning tech stacks to growth mindsets

Having the right skills development strategies and data intelligence capabilities are key. But leading companies do not stop there. Companies need to also make significant investments in modernising their internal learning infrastructure and cultivating organisational cultures rooted in growth mindsets around lifelong learning. Training programs of companies often fall short by relying too heavily on passive, one-size-fits-all online course libraries or dated, compliance-based training models. That's why many are rethinking skills development through the lens of consumer-grade learning tech that facilitates adaptive, on-demand and collaborative learning experiences tailored to skills priorities and development aspirations. From digital coaching and AI-enabled knowledge assistants to immersive virtual environments and user-generated knowledge marketplaces, innovative learning technologies are reshaping what corporate training can look like.

Top teams work on tight iterative cycles introducing innovations all the time and therefore there ought to be a tailor-made learning environment that enables them to develop new skills through hands-on training, knowledge sharing between global teams and environments to build and stress-test solutions before they are customer-ready. Evidence shows that tailored learning experiences are proving far more engaging and effective for reskilling existing employees or onboarding new hires to cloud-based technical roles. It is a departure from the traditional webinar- or classroom-based model historically comprised of generic tech training curricula. And it is emblematic of the broader shift occurring in how innovative companies are delivering employee skills transformation at scale.

But just as important as the learning tools and environments are the strategic workforce mindsets companies cultivate around continuous skills growth. Skills transformation initiatives will fall flat without diligent change management and culture-building focused on nurturing employee passion for exploring new career horizons. Companies need to build a culture of curiosity and learning agility across the organisation where employees are made aware that career journeys are not linear progressions, but rather growth experiences that cuts across different jobs and skill sets over time. This also means building tools and resources to equip employees with personalised upskilling pathways and self-directed learning plans suitable for their own growth orientations and entrepreneurial aspirations.

This mindset shift also extends to leadership levels, where companies strive to seed more growth-oriented leaders who are not just taskmasters but role models enthusiastically embracing their own continuous skills development. Whether through vulnerability-building experiences where executives learn new skills from frontline employees or high-visibility learning campaigns amplifying top leaders' mistakes and growth edges, the goal is to destigmatise skills obsolescence as a deficiency and reframe it as an opportunity for exciting career growth. Gone are the days when HR and learning leaders could dictate the learning journeys of their employees. Now successful skills transformation must be co-created and driven by passionate employees themselves. The job of innovative talent leaders is to facilitate and amplify those employee growth journeys by uncovering their innate motivations and growth mindsets – then providing the tools, resources and inspiration to fuel those passionate pursuits.

The strategic upskilling and reskilling imperative for Chief Human Resources Officers

As the trends and priorities outlined above underscore, enabling continuous workforce upskilling and reskilling has become perhaps the most mission-critical strategic priority for Chief Human Resources Officers (CHRO) and their teams to lead. It touches virtually every facet of their job, spanning workforce planning, skills forecasting, data/analytics capabilities, career development systems, talent sourcing, learning content/platforms, employee engagement strategies, organisational design and cultural transformation ([Walford-Wright and Scott-Jackson, 2018](#); [Weiss et al., 2024](#)).

So, it is no surprise that in a 2022 survey by Gartner, 66% of HR leaders cited building critical skills and competencies as their number one priority over the next few years. According to IBM's The Skills Imperative study, 61% of C-suite executives say their #1 workforce priority over the next year is closing emerging skills gaps before they intensify further. HR can no longer afford to view skills transformation as an annual event or isolated initiative – it must become the core operating foundation of all talent and workforce strategies ([McKinsey and Company, 2023](#)). Upskilling and reskilling need to shift from being disconnected training expenses to being strategic talent investment areas budgeted on continuous funding cycles.

But for strategic HR leaders willing to embrace this mindset and invest properly in continuous workforce skills transformation, the rewards are substantial. Not only do they gain the ability to navigate business threats and outperform competitors by proactively closing skills gaps ahead of workforce model disruptions, but they also gain compelling new tools for enhancing organisational agility, employee engagement and reputation as forward-leaning employers of choice. This means that current employees may stay longer while recommending the company to potential employees which will fuel the talent pipelines of the company. Highly skilled workers provide more innovative solutions to strengthen customer experiences, accelerate speed-to-market for new products, continuously drive operational efficiencies across the value chain and spot strategic market opportunities faster than the competition. Additionally, companies actively investing in employee development and growth also boost their branding efforts both internally and externally.

Today's business environment is experiencing a never-ending cycle of disruption which means companies will have to battle competitors along key grounds such as new technologies, new business models as well as unexpected shocks driven by the evolving future of work. Surviving this environment means businesses will require a robust continuous skills transformation strategy that can help them unleash sustainable competitive advantage. Upskilling and reskilling programs tailored to the company's strategic evolution are like building up an always-on innovation pipeline fuelled by incredible talent. When companies lean into empowering employee growth through continuous skills development, they create opportunities that enable them to adapt to a shifting future – while attracting high performers who will ultimately drive the business forward.

Conclusion

In conclusion, companies need to change how they approach skills development to be able to succeed in this ever-changing digital age. This means a fundamental shift from tactical training initiatives to a strategic investment priority. As highlighted earlier, companies implementing comprehensive skills transformation strategies can achieve demonstrable superior business performance such as revenue growth and accelerated innovation. Achieving this requires a multifaceted approach that combines cultural transformation with modern learning technologies based on data-driven workforce planning. This means CHROs must act as strategic partners to drive this transformation. Such evolution remains critical for the survival of companies navigating the complex business environment of today.

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